

your tax bill. (The math: \$2,000 times 25% equals \$500.) There's a place on the tax form that will prompt you for this. One nice feature about the IRA deduction is that you technically don't have to make your contribution during the tax year in question: The deadline for contributing to an IRA is the same as the deadline for filing your taxes that year. So, for example, you can deduct an IRA contribution for tax year 2010 as long as you make the contribution before April 15, 2011.

An aside about 401(k)s: You don't list 401(k) contributions on your tax return because your employer has already subtracted your contribution from your gross salary. The net salary on the W-2 you receive in January from your company already reflects your contribution.

- **Student loan interest payments.** You are entitled to deduct the *interest* payments you make on your student loans, up to a maximum of \$2,500 in interest per year. You can't deduct money that goes toward repaying the principal. If you make \$75,000 as a single person or \$150,000 as a married couple, you're not eligible for this deduction. For more information, contact the IRS at 800-TAX-FORM (www.irs.gov) for Publication 970, *Tax Benefits for Education*.
- **Alimony payments.** If you're divorced and pay alimony to your former spouse, you might be able to deduct it. But certain conditions apply. You can deduct only money that you are legally required to pay your ex-spouse by the divorce or separation agreement. You can deduct only payments that you make in cash (including checks and money orders), not in property. And child support is *not* deductible. For details, check Publication 504, *Divorced or Separated Individuals*.
- **Tuition and fees.** The IRS may let you deduct up to \$4,000 a year in higher education tuition and fees (including graduate school), provided your income is within certain limits. You have to choose between this deduction and one of the education credits available (see the next section)—you can switch between them from year to year, but you can't take